

BUSINESS LAW & ETHICS (265)

NATIONAL – 2019

True/False & Multiple Choice:

True/False (20 @ 2 points each) _____ (40 points)

Multiple Choice (30 @ 2 points each) _____ (60 points)

TOTAL POINTS _____ ***(100 points)***

Failure to adhere to any of the following rules will result in disqualification:

- 1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.**
- 2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.**
- 3. Electronic devices will be monitored according to ACT standards.**

No more than ten (10) minutes orientation
No more than sixty (60) minutes testing time
No more than ten (10) minutes wrap-up

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Identify the letter of the choice that best completes the statement or answers the question. Mark "A" if the statement is True. Mark "B" if the statement is False.

1. Judicial decisions are law unless they are revoked later by a new statutory law.
2. Administrative agencies lack the authority to establish rules that have the force of law.
3. There is only *one* correct answer for each ethical dilemma.
4. A business decision can be legal but unethical.
5. A tort, in contrast to a crime, is a violation of the rights of an identifiable individual or business that has been wronged either intentionally or by negligence.
6. Simply offering a better deal is *not* enough to create liability for intentional interference with contract when only a prospective contract exists.
7. A contract that arises from the conduct of the parties is an implied contract.
8. A quasi contract is an agreement by the parties to prevent unjust enrichment.
9. In a partnership, income of the business is personal income and business losses can be deducted from taxes.
10. A legal entity formed by issuing stock to investors, who are the owners, is a limited partnership.
11. Corporate income is taxed twice.
12. An S corporation is an unincorporated business that is taxed like a partnership with the limited liability of a corporation.
13. Copyright is the protection of the expression of a fixed form that expresses ideas.
14. An invention *may* be considered a trade secret.
15. A power of attorney is a document that gives an agent authority to sign legal documents on behalf of the principal.
16. All employees are agents of their employers, and all agents are employees.
17. The promise in a note, or the order in a check or draft, must be conditional.
18. A negotiable instrument is a substitution for cash.
19. State laws may give employees more, but *not* less protection than federal laws.
20. The Americans with Disabilities Act is enforced by the Equal Employment Opportunity Commission in the same way that Title VII is enforced.

21. While cutting class and driving off campus to check on her new dress for the upcoming formal, Molly is busy talking on her cell phone with her friend, Sharon. Unfortunately for Molly, there is a statute in her state outlawing talking on a cell phone while operating a motor vehicle. Molly crashes into the side of Sam's new convertible when she looks down to pick up a can of soda she just dropped onto her new jeans. A police officer just down the street comes over to investigate. Molly explains to him that it was difficult to hold the cell phone in one hand, the soda in the other, and also drive. The officer was *not* impressed. Which of the following is *true* regarding Molly's predicament?
- a. Molly can be given a ticket and prosecuted criminally by government officials, but she may *not* be sued for a civil violation.
 - b. Molly can be sued for a civil action and must pay for Sam's car, but she *cannot* be prosecuted for a criminal violation.
 - c. Molly can be sued in a civil action by Sam, and she can also be prosecuted by the government for a criminal violation.
 - d. So long as Molly has insurance and can pay for Sam's vehicle damage, she *cannot* be prosecuted in a civil or criminal action.
22. Penny is investigating what she needs to do to legally to open a dog grooming business in her city. Which of the following would govern the business?
- a. State statutes
 - b. City ordinances
 - c. State statutes, city ordinances, and model laws
 - d. State statutes and city ordinances, but *not* model laws
23. Case law can be revoked by _____.
- a. new statutes
 - b. precedent
 - c. stare decisis
 - d. standard law
24. Assume the Securities and Exchange Commission prosecutes someone for insider trading. That prosecution is an example of _____ law.
- a. criminal
 - b. procedural
 - c. civil
 - d. private
25. In ethics, the "public disclosure" test is also known as the _____ test.
- a. television
 - b. Powell
 - c. self-conscious
 - d. golden

26. All of the following are the influencing factors on both group values and individual values *except*:
- a. religion.
 - b. wealth.
 - c. traditions.
 - d. customs
27. Defamation is a broad term that includes both _____
- a. libel and slander.
 - b. libel and conversion.
 - c. nuisance and libel.
 - d. grand and petty conversion.
28. Which of the following are common classifications of torts?
- a. Intentional, negligent, and criminal
 - b. Intentional, criminal, and strict-liability
 - c. Intentional, negligent, and strict-liability
 - d. Criminal, negligent, and strict-liability
29. _____ torts occur when the defendant acts in a way that subjects other people to an unreasonable risk of harm.
- a. Criminal
 - b. Liability
 - c. Intentional
 - d. Negligent
30. Which of the following is *true* regarding the intent needed for an intentional tort?
- a. The intent at issue is *not* intent to harm but, rather, is intent to engage in a specific act, which ultimately results in an injury, physical or economic, to another.
 - b. The intent at issue is *not* intent to harm but, rather, is intent to engage in a specific act, which ultimately results in a physical, *not* merely economic, injury to another.
 - c. The intent at issue is intent to harm that results in physical, *not* merely economic, injury to another.
 - d. The intent at issue is *not* intent to harm and is *not* intent to engage in a specific act. Instead, negligence will suffice.
31. Which of the following are laws holding that people in peril who receive voluntary aid from others *cannot* hold those offering aid liable for negligence?
- a. Rescue statutes
 - b. Aid to others statutes
 - c. Good Samaritan statutes
 - d. Freedom statutes

32. Which of the following types of damages is intended to reimburse a plaintiff for his or her losses?
- Nominal
 - Compensatory
 - Punitive
 - Exemplary
33. What are the elements of a binding contract?
- Offer, acceptance, consideration, and assent
 - Agreement, consideration, contractual capacity, and legal object
 - Agreement, offer, acceptance, and consideration
 - Agreement, consideration, contractual capacity, and assent
34. The law of contracts is primarily _____ law.
- civil
 - statutory
 - common
 - administrative
35. Harry accepts Frank's offer to sell a used car for \$2,000. At what point is there a binding contract?
- As soon as the agreement is made.
 - As soon as the money is paid.
 - When the car is delivered.
 - Ten days after the car is approved and delivered.
36. Which of the following is *true* if no means of communicating an acceptance is specified in an offer?
- The acceptance must be in writing.
 - The acceptance must be made verbally either by telephone or in person.
 - No valid contract may be entered into because the offer must specify a means by which to accept.
 - Acceptance may be made by any reasonable means.
37. If the subject matter of an offer is destroyed, the offer _____.
- is extended for seven days
 - immediately terminates
 - is extended for fourteen days
 - is extended for twenty-one days
38. Gretchen offers \$100 to anyone who can return her lost dog, Sparky. Haley returns the dog and requests the money. Gretchen says that there is no binding contract. Which of the following is true regarding Gretchen's statement?
- Gretchen is incorrect because there is a binding bilateral contract.
 - Gretchen is incorrect because there is a binding unilateral contract that Haley accepted by performing.
 - Gretchen is correct because there is no binding bilateral contract.
 - Gretchen is correct because there is no binding unilateral contract.

39. Which of the following is the *most* popular form of business ownership in the U.S.?
- Sole proprietorship
 - Limited partnership
 - Limited liability partnership
 - Corporation
40. In a _____, all the partners' liability for professional malpractice is limited to the partnership.
- general partnership
 - limited partnership
 - professional partnership
 - limited liability partnership
41. How is a limited liability company formed?
- By filing Articles of Statement with the Internal Revenue Service
 - By filing Articles of Organization in the state in which the LLC is established
 - By filing a Limited Liability Company form with the Securities and Exchange Commission
 - By filing a Certificate of Authority with the county in which the LLC is established
42. If a trademark is registered, what may the owner obtain in the event of infringement from a person who used the trademark to pass off goods as being those of the mark owner?
- Damages
 - An injunction prohibiting the infringer from using the mark
 - Damages and an injunction prohibiting the infringer from using the mark
 - Damages, an injunction prohibiting the infringer from using the mark, and additional damages based on a multiplier of 5 times the original damages
43. Which of the following provides that a portion of a copyrighted work may be reproduced for purposes of criticism, comment, news reporting, teaching, scholarships, and research?
- The fair-use doctrine
 - The copyright-use doctrine
 - The limited-use doctrine
 - The trade-use doctrine
44. In most situations, how many principals may an agent represent in any one agreement?
- One
 - Two
 - Three
 - Four
45. If an agent makes a fraudulent statement in a contract within the scope of his or her authority, then the:
- agent is responsible.
 - principal is responsible.
 - principal is *not* responsible.
 - contracting party's agent is responsible.

46. What characteristics must a written document have in order to satisfy the requirement that a negotiable instrument be in writing?
- A signature by both parties and an allongé (additional paper attached to the instrument).
 - Relative permanence and a signature by both parties.
 - Movability and a signature by both parties.
 - Relative permanence and movability.
47. A _____ provides a safe means of transferring money and serves as a receipt when paid and canceled by the bank.
- check
 - non-negotiable note
 - bond
 - promissory note
48. The Fair Labor Standards Act mandates that employees who are *not* excluded who work more than _____ hours in a week be paid no less than one and one half times their regular wage for all the hours beyond _____ that they work during a given week.
- 30; 35
 - 35; 40
 - 40; 40
 - 45; 45
49. Credit card applications include _____ under the Truth in Lending Act.
- the APR
 - annual fees
 - the grace period for paying without a finance charge
 - the APR, annual fees, and the grace period for paying without a finance charge
50. By federal law, major credit reporting agencies are now *required* to provide consumers with a free copy of their credit report every _____.
- 36 months
 - 24 months
 - 12 months
 - 6 months